

Facts about Restrictive Covenants

Deed restrictions are a form of private land control. You will often see deed restrictions imposed by a developer who wants to maintain specific standards in a subdivision that's still under development. The developer doesn't want early residents in the development to create issues that will impede future sales. For instance, a deed restriction may involve the types and heights of fencing that may be used. Owners may be prohibited from using plastic fencing, parking their recreational vehicles on the street, or placing basketball hoops where they will be in view of the street.

For example, Mike Grant, a developer, has a one hundred and twenty-three lots zoned for single-family. He's going to build out about 20, and you're going to sell the rest to other builders so he can go on to other projects. But Mike wants to make sure that these other builders only build homes in keeping with his vision for the subdivision. If another builder were to build a low-quality home, it could negatively impact the value of the homes and lots that he's trying to sell.

Developers, and individual owners as well, have the right to place private controls on their own real estate. A deed restriction limits the use or appearance of a given property, and it can be placed on an individual property, or on an entire subdivision, as with Mike-even an entire neighborhood.

A property owner can place a restriction on a deed anytime during ownership. The restriction may run with the land forever, and will appear on all future deeds, or it may have a time limit. For example, Mike is requiring that all empty lots be built on within one year of sale. Once the lots are built out, he will remove this restriction.

Deed restrictions are the 'R' in CC&Rs, which stands for conditions, covenants, and restrictions. Conditions specify requirements an owner must comply with. The property ownership might be lost if the condition is violated. For instance, a grandmother may pass her property on to an heir on the condition that the heir never marry. If the heir does, ownership would be severed. Covenants are agreements between two or more parties. If the agreement is violated, ownership-or tenancy, in the case of a lease-can be terminated. So if a landlord and tenant have a covenant that states no pets, and the tenant brings in a pet, the lease can be terminated.

A deed restriction is a private agreement that impacts the use of the land. For example, no boats or RVs in the driveway. These could even be fence style-for instance, no vinyl or metal fencing, wood only. You can also have deed restrictions that say for residential use only, no additional structures, no in-law suites. You can set restrictions on property size and **setbacks**. Let's say the zoning ordinance said 10-foot setbacks but a developer wanted 15. He would add the more restrictive covenant to the CC&Rs. He could also specify architectural design, aesthetic features, exterior material and color, etcetera.

Of course, the more restrictive a use is, the more limited its market can be. But a lot of prospective buyers find comfort in deed restrictions.

Enforcing Deed Restrictions

If the property owner violates a condition stipulated in the deed, the property can revert to the grantor, or to another person identified by the grantor in the deed. The consequence of violating a covenant is not as extreme. Property owners can enforce covenants through the court system. In fact, they need to be sure to be consistent in their enforcement, or they could lose the covenant through laches. The **doctrine of laches** basically says that if you don't use it, you can lose it. Property owners who are lax in protecting their rights can lose their rights. The courts won't restrict violators, and the covenant terminates.